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Consumer Experiences with Predatory Lending Practices

This investigation examines how consumers perceive and experience predatory lenders. Findings reveal that industry practices are carried out to the detriment of persons typically defined as “vulnerable,” such as elderly, impoverished, and African American consumers. Using a series of personal interviews with a geographically diverse set of respondents, data reveal thematic categories that include *the friendly veneer, the rules of engagement, and an aggressive response*, which capture the nuances of this exchange relationship from the perspective of these unwitting consumers. The closing section provides implications for scholars and regulators seeking workable solutions to limit additional financial exploitation.

In her essay on marketing practices, Consumers Union President Rhoda Karpatkin (1999) called for the transformation of exchange relationships between several industries and impoverished consumers in order to advance a “fair and just marketplace.” One practice singled out in her treatise was predatory lending by banks and subprime financial institutions. The purpose of this research is to highlight predatory lending practices in the mortgage market. Predatory lending is defined as consumer loans with any or all of the following characteristics: aggressive and deceptive marketing, lack of concern for the borrower’s ability to pay, high interest rates and excessive fees, unnecessary provisions that do not benefit the borrower (e.g., balloon payments or single-premium credit life insurance), large prepayment penalties, or faulty underwriting (Carr and Kolluri 2001; U.S. Department of Housing and Urban Development 2006). Such abuses occur with institutions such as consumer finance companies, banks, and mortgage brokers. These lenders cater to low-income, high-risk consumers who may have difficulty obtaining traditional mortgage credit.

The practice of predatory lending is conceptually different from that of subprime lending, defined as lending to borrowers with poor credit

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histories, payment delinquencies, and in some cases charge-offs and bankruptcies (Carr and Kolipuri 2001). Responsible subprime lending is cited as having positive consumer benefits including expanding credit access. Proponents of the industry have cited an increase in home ownership and borrowing equity as positive contributions (Elliehausen and Staten 2004). However, consumer activists have noted frequent abuses and recommended more vigilance and legislative solutions by policy makers. Along with high rates and added fees, predatory companies have been charged with frequent flipping of loans (i.e., refinancing an existing loan with little additional money advanced to the consumer while charging additional points and fees) that results in "equity stripping" and an increased risk of foreclosure (Consumers Union 1998; Elliehausen and Staten 2004).

These practices are carried out to the detriment of populations typically defined as "vulnerable," such as elderly, poor, and African American consumers (Karparkin 1999). For example, data released by the Federal Reserve under the Home Mortgage Disclosure Act showed racial and income differences in subprime lending practices. According to the data, African Americans were two to three times more likely than whites to receive higher-priced home loans in 2004 (Avery, Canner, and Cook 2005; Zindler 2005). A joint study by the Department of Housing and Urban Development and the U.S. Department of the Treasury (2000) reported that 51% of the loans made in predominantly African American neighborhoods were made by subprime lenders versus 9% in predominantly white neighborhoods. Calem, Gillen, and Wachter (2004) reported similar results in an analysis of the Philadelphia and Chicago metropolitan markets. Even after accounting for a series of explanatory variables that included credit risk, the authors found a strong geographic concentration of subprime lending in neighborhoods that were primarily African American.

Researchers have also identified and highlighted predatory lending practices such as exploitive greenlining or the marketing and issuing of loans without regard to the borrowers' ability to repay (Newman and Wyly 2004). Such perceived inequities in the marketplace served as the impetus for regulation of the industry by both federal and state legislators. Federal protections against predatory lending include the Home Ownership and Equity Protection Act, the Truth in Lending Act, and the Federal Trade Commission Act. Home Ownership and Equity Protection Act provides safeguards such as supplementary consumer disclosures for high-rate mortgages. Truth in Lending Act requires that a lender discloses the cost of credit prior to the consumer completing a loan transaction. Lastly, the Federal Trade Commission Act broadly prohibits unfair or deceptive acts which

affect commerce (Swindle 2000). These laws fundamentally share the goal of creating an environment where a consumer makes an informed choice. The criticism of existing legislation and the case for increased enforcement result from the deceptive and abusive practices discussed herein that still occur during loan transactions with a customer base not well versed in their rights or loan options. State officials unsatisfied with federal regulations also have passed legislation to curtail these illicit practices (Jaworski and Byrne 1999).

The primary purpose of this research is to examine the consumer experiences of predatory lenders, specifically highlighting the exchange process. The next section provides additional framing for this study, which focuses on individuals who had one or more loans with subprime lenders accused of using illicit marketing tactics. The data discussion follows with an emphasis on the qualitative approach utilized that is widely employed in consumer-based studies involving impoverished subpopulations (see Hill 2001, 2002a). Results are presented using interrelated themes and sub-themes that capture the lived experiences of these consumers. The closing section provides implications for scholars and regulators seeking workable solutions to financial exploitation.

FRAMING THE ISSUE

Several financial institutions that target the subprime market were pursued by federal and state authorities for predatory lending violations. For instance, Household International recently agreed to pay \$484 million in fines to consumers who were victims of alleged illegal lending practices. The New York State Attorney General accused Household management of failing to disclose material information to consumers and misrepresenting loan terms (Mokhiber 2002). As part of the settlement, Household management agreed to reduce the number of points charged for new loans, reform and improve disclosures to consumers, reduce flipping of outstanding loans, and provide loan closers with no financial interest to ensure compliance (Mokhiber 2002). In another instance, the Federal Trade Commission (FTC) filed a complaint in federal court charging the corporations collectively known as "The Associates" with systematic and widespread abusive lending practices. Central to this complaint were allegations that the lenders victimized consumers who borrowed to meet emergency needs without access to other capital; induced consumers to refinance existing debts into home loans with high interest rates, costs, fees, and unnecessary credit insurance; concealed essential information from consumers; misrepresented loan terms; and packed optional fees to raise the cost of

loans. Other allegations were that employees rushed consumers through the closing process to avoid explaining loan terms, employed unfair and aggressive tactics to collect payments, and dunned consumers with repeated and continuous phone calls to homes and places of work. The parent company Citigroup paid \$215 million to settle and agreed to modify their marketing tactics consistent with ethical industry practices (Pacelle 2004).

Such abuses have existed for some time and have been chronicled in the consumer behavior literature. The classic U.S. study by Caplovitz (1963) shows how unethical vendors of major appliances took advantage of impoverished consumers who had few or no alternatives to the high interest rates proffered. Other investigations show that these tactics are employed in several contexts in which inferior products are matched with above-market prices in poor communities (Bell and Burlin 1993). Hill, Ramp, and Silver (1998) reveal that such providers explain the lack of value in these exchange relationships as due to increased risk of buyer default. However, Andreassen (1975, 1993) suggests that these exchange inequities are caused by inadequate competition within impoverished neighborhoods, limited mobility and transportation barriers that bar poor consumers from shopping centers, and lack of traditional lending services that offer credit at reasonable rates.

Recent scholarship from Baker, Gentry, and Rittenburg (2005) provides an important new framework for understanding impoverishment through a unique definition of "consumer vulnerability." Their view positions such persons as existing in a state of powerlessness that occurs when control is abused by transaction partners and leads to an unhealthy dependence. Under these conditions, marketers may operate in ways that actually inhibit consumption goals, reduce quality of life, and decrease self-esteem. One possible consequence is that the poor are forced by circumstances to make what appears to be "irrational choices" when selecting financial services such as subprime mortgage products, tax refund anticipation loans, and payday loans in an environment that lacks access to traditional financial products (Apgar and Herbert 2006).

The typical consumer profile targeted by predatory marketers is quite similar across these venues (Hill 2002b). Their potential buyers often live from paycheck-to-paycheck and have less-than-perfect credit. Current debt loads are substantial combined with little disposable income to make more than the minimum monthly payments. Several promotional strategies are used to attract these consumers, garnering attention from consumer activists as well as regulators. For example, one marketing tactic involves the use of "live checks," which serve as unsecured loans when cashed at terms that are usurious and may exceed 200% annual interest rates. Representatives of

lenders usually attempt to “up-sell” these consumers to secured products like home equity credit lines, with the promise of lower monthly payments and more available cash.

These loans typically have higher rates and more/larger fees than conventional products offered by traditional banks and lending institutions. However, the promise of lower payments, more money, and relative ease of completing the transaction (since the customer has a prior relation with the lender) leads many poor consumers to pursue these loans without additional search for alternatives that have better rates and more favorable terms. Some banks and mortgage companies that engage in subprime lending argue that such premiums are the result of increased risk associated with higher default rates. However, research conducted on the rent-to-own industry provides evidence that this target market presents no greater risk than the lowest acceptable market segment pursued by large department stores and credit card companies (Hill, Ramp, and Silver 1998).

Much of the theoretical research and policy-oriented studies involving predatory marketing have made limited use of the voice of impoverished consumers, and this lack is particularly true for investigations of predatory lending. This perspective is critical to the debate since it is their welfare that activists and legislators are most interested. In order to correct this oversight, our study asks consumers of subprime loans to describe their experiences with lenders using personal interviews. The guiding principle was to explore each facet of the connection between lenders and consumers, giving respondents the opportunity to provide as much detail about the exchange process as possible. More details on the method utilized in this investigation are provided in the next section. The results use the remarks of consumers to bring the thematic discovery to life.

METHODOLOGICAL CONSIDERATIONS

The informants employed in this study were selected randomly from specific neighborhoods located within four large Eastern or Midwestern cities comprised primarily of lower socioeconomic, African American citizens. Different respondents were contacted until saturation occurred, and a more complete picture of their consumer experiences with lenders was revealed, which was reached somewhere between the 35th and the 50th interview. Only one candidate refused to participate when permission was requested, and another person asked for verification of the project purpose and the interviewer’s credentials. This high participation rate suggests the development of trust between the interviewer and the informants and the desire to present their points of view.

The interviewer's guide was developed following an examination of complaints filed in federal and state courts, confidential discussions with governmental agency representatives involved in lawsuits, and a review of public documents available from lenders. The resulting guide opens with a brief introduction of the researcher, a description of the study purpose, and a promise of anonymity. The topics move from general to more specific using grand tour and focused questions as well as a series of prompts. Interviews were conducted by phone, and the researcher paused only to ask clarifying questions. Discussions continued until respondents exhausted their full range of reactions, typically required between 30 and 45 minutes. The interviewer took copious notes and transcribed this material into a series of comments and reflections immediately after the interview. No recordings were made to protect informants' right to privacy.

Analysis of these texts utilized procedures consistent with other qualitative studies in the consumer field (Arnould and Wallendorf 1994; Stern 1998). More specifically, this research employed an analytical perspective as articulated by Wertz (1983) and used previously by Hill, Ramp, and Silver (1998) with similar informants under related circumstances. Thus, our analysis emphasized empathic immersion in the world of description, slowing down and dwelling, magnification and amplification of the situation, and suspension of belief and employment of intense interest. Operationally, this process involved a "reliving" of the interview experience by reading and rereading the transcribed notes of each interview once it was completed. The next step involved summarizing respondents' answers to questions as well as to probes. Using an iterative process that began with the first and concluded after the last interview, data were organized into themes that emerged as common across respondents. Finally, the relationships among themes were explored to develop a gestalt of their experiences.

THEMATIC INTERPRETATION

The themes that resulted from the analysis include three interrelated categories and a number of supporting subcategories. The first theme is titled "the friendly veneer" that occurs at the beginning of the relationship and contains subthemes of *courtesy*, *availability*, *speed*, and *lack of full disclosure*. The second theme is "the rules of engagement," and it is parceled into subthemes of *don't ask questions*, *borrow more over time*, and *make payments promptly*. The third theme is "an aggressive response" that happens later in the relationship and encompasses *changing the loan package*, *blaming the victim*, and *continuous assault*. Each theme is explored

below using brief respondent comments to emphasize their perspectives. No attempt was made to identify or parcel out reactions to any particular subprime lender, and our results are intended to represent industry practices and their impact upon consumers.

The Friendly Veneer

Courtesy

The facade of the lenders is a superficial courtesy extended to new customers, a false front that they rarely experienced during interactions with typical providers of financial services such as banks. For borrowers, this sign of respect and confirmation of their status as trustworthy initially was empowering. Consumers expressed their opinions of this treatment with responses such as: "They were very good to us." "They treated me right." "They [were] always friendly and nice." Under some circumstances, this courtesy extended to personal favors for consumers that were originally viewed as acts of kindness to help borrowers make timely payments: "They [were] always good to me, stopped by to pick up my payment and give me my receipt when I was sick."

Availability

This courtesy culminated in the availability of and access to money, which was in short supply among these customers. In fact, ease of access to cash was a source of relief and among the central reasons for maintaining these relationships. One consumer stated that "We went to the lender because we heard it was easy to get a loan from them." Nonetheless, this availability came at a premium and typically represented the only alternative for many borrowers. With few or no other alternatives, they entered into transactions with the only lenders that seemed to value their relationships: "[The lender gives you] easily accessible money at a price. You can get the loan." "If you don't have the best credit but need the money real bad, the lender will give it to you." "I had been turned down by a lot of people, and they agreed to help me."

This availability was not limited to first-time borrowers. Current consumers were inundated with opportunities to receive easy access to money. For example, borrowers noted that "We always got mailers sent to us saying we could get [more] money out of our house." "They always sent me ads with my bills. If you needed more money, all you had to do was call so-and-so."

Speed

An additional advantage for consumers with serious needs was that availability was matched with speed of funds allocation, an extension of the friendly veneer that also suggested trust to borrowers. For those consumers whose needs were great as well as immediate, time often was of the essence: "The only good thing I can say about them is that they worked fast." "The quicker you sign the quicker you get the money!" "I was in a hurry to get the money and they [were] in a hurry to give it to me."

However, the speed with which events occurred surrounding the completion of the loan process was too fast for many borrowers to comprehend the details of exchanges. This problem particularly was severe during the loan closing at lenders' offices. Consumers typically were given cursory descriptions of the documents and asked to sign without reading them. The friendly veneer of lenders' representatives now required a reciprocal trust by accepting their synopsis of agreements: "They went through it [paper work at closing] quickly page-by-page and told me what it meant." "They did the 'rush, rush' thing with me [at closing]. I was probably there five-ten minutes. They would slap papers down in front of you and just tell you where to sign." "They zipped through it [the closing]. Several times I had him back up and explain things to me. They gave you no time to think of things."

Lack of Full Disclosure

A particularly negative consequence of the speed of these transactions, especially rushing the closing process, was a purposeful lack of full disclosure of the details of loan packages to consumers. Borrowers often expressed their faulty understanding of agreements as confusion about the principal they must pay in relation to the loans they received: "Must be a lot of interest because a lot is not coming off the principal [when I make payments]!" "Always felt something was added in because the principal was so high." "[The closing] went so fast, I did not know what I was signing. It turned out to be a second mortgage. It was so rushed that I didn't get to ask any questions. I got so little money and I have to pay so much and I'm not sure why."

Along with general confusion about interest rates and principal, consumers expressed serious misunderstandings about points or loan origination fees and credit insurance. The number and cost of points were unclear to borrowers, and their comprehension of the relationships to different parts of loans (e.g., points paid on insurance versus the amount financed) was

nonexistent. A prototypical response was that “They never explained [the] points.” However, this deception was exacerbated by the selling propositions of the total loan packages: “They told us that their interest rate was lower than our credit cards and was tax deductible. However, they did not explain the [many thousands of dollars] in points it took to initiate the loan.”

Confusion surrounding credit insurance was even worse. Consumers often believed that they had not purchased coverage when, in fact, they had. Others maintained that their insurance coverage was part of the loan and therefore *gratis* or that it was included in their monthly payments and akin to many life or auto insurance policies. Consider the following statements from different borrowers: “I don’t remember buying insurance on my loans.” (When, in fact, s/he had.) “The credit insurance was included with the loan.” (When, in fact, it was not.) “They took it out of the loan [on a monthly basis].” (It was actually rolled into the loan amount.) Others, especially those consumers who discovered right after closing that they had purchased insurance coverage without their knowledge were startled at the hidden price: “When I refinanced my house, they sold me some insurance that I didn’t know about. They put the whole thing [cost] into my mortgage and I will be paying it forever!”

The Rules of Engagement

Don’t Ask Questions

Implicit to the exchange relationships between lenders and their customers is that borrowers must follow three important dictates to derive the benefits of the friendly veneer. The first rule is don’t ask questions about loan packages, especially during or after closing. As a result, important concerns went unresolved, setting the stage for additional financial problems. Consider these transcribed comments from borrowers: “When I talked to them they told me one [interest] rate, but they gave me a higher rate at closing. I noted it but didn’t press it with them. I had invested all this time and energy; I’m here so I might as well go through with it.” “I was very surprised to find out about my insurance coverage. I was not covered like I thought I was at all. It was not doing what it was supposed to be doing.” “We got a tax bill and just ignored it because with our other mortgage it was just part of the payment.”

Those consumers with the determination to confront lenders’ employees with concerns often expressed anxieties about the difference between the amount borrowed and the resulting loan principal, revealing their ignorance

about added points, insurance, and fees: "I would call them and tell them that this is not what I borrowed. How much I really owed and how much [the loan statement] showed I owed was not right."

Such violations of the rules of engagement often resulted in an end to the friendly veneer. Distant and negligent agents who failed to follow through on promises replaced the helpful and supportive personnel who originated the loans: "The people I talked to were helpful until I tried to back out of a loan or find out what the exact cost was." "They told me they were going to do something about it [the fact that the amount financed was much higher than the loan amount] but they never did." "You can never talk to the same person twice. They would tell us they were going to do one thing and then not do it."

Borrow More over Time

The second rule of engagement of lenders is that consumers should borrow more over time. Many borrowers began with initial loans and then were persuaded by lenders' employees to expand their loan amounts. Consumer comments in this regard include the following: "We started with a small loan and then consolidated our credit card debt in a second mortgage." "Once you get the loan nearly paid out, they try to push it back up again." Lenders often instigated this additional borrowing in several ways. In some cases, they made suggestions of big purchases that necessitated larger loans. In other cases, they provided more cash than requested, noting that most borrowers could always use the extra money. A final tactic was to remedy problems with previous loan packages by asking borrowers to take on more debt. The following remarks describe these circumstances in the words of consumers: "They were very pushy trying to get me to buy something like a big TV. I was trying to get the loan to fix my roof and put siding on the house. Why would they want me to spend more money?" "I look at my account after I asked them for \$500 and they gave me \$1500. It looks to me like they want to get me into more debt." "When we realized that the taxes weren't paid, we called them and they said it was no problem and they would take care of it. They would just roll the taxes into our current mortgage."

This pattern of continuous borrowing left some consumers with debts beyond their ability to make significant or regular payments. Some individuals believed that circumstances beyond their control resulted in debt loads above their means, while others placed the blame squarely on lenders' employees who took advantage of their trust or vulnerability: "My loans were a series of refinancing to get money for things that came

up. We combined first and second mortgages. It just got bigger and bigger and looked like we would never pay it off.” “Seems like they just want you to [borrow] more and more until you are in too deep.” “Before taking the loans [my father] only owed [a few hundred dollars] on the house, now he owes [tens of thousands]. They took advantage of his old age.”

Make Payments Promptly

The third and final rule is that borrowers must make payments promptly if they expect the friendly veneer to continue. One consumer expressed this pact succinctly when he said that “They treated me all right as long as I was paying my bills on time.” Thus, consumers who experienced positive relationships with lenders did what they were instructed to do: “I made my payments. No one ever bothered me, and once in a while they would ask if I needed more money.” On the other hand, lenders’ agents did not tolerate late payments. Consumers experienced a significant change in treatment and status by employees soon after payments were missed. This resulted in an escalation of tension between borrowers and lenders’ personnel. One resolution was the immediate payment of all money due. The only other option was following Rule Number 2 and borrowing more. “If I was a little late with my payment they would call me and the tone would change.” “They [were] pushy on different occasions, like when I got behind on a payment or two. Always trying to get you to re-sign with them for another [larger] loan.”

This tension was not limited to late payments. Lenders expressed dissatisfaction and concern when consumers decreased their monthly installments by dropping optional portions of loans or paying loans off early. Some borrowers felt they were penalized for these actions, as noted in the second set of comments: “They were not too happy when I dropped [the credit insurance]. They were upset when I paid off the loan.” “I paid off the loan early, but they never did give me any money back on that insurance.”

An Aggressive Response

Changing the Loan Package

The relationship between borrowers and lenders often took an aggressive turn after a relatively brief “honeymoon” period. A typical response by consumers was that “At first they were really nice to me.” However, the situation often shifted during or shortly after the closing process. This aggression originally manifested itself as changing the loan package.

The unwitting modification of agreements with lenders often started with promises that were made during early discussions but were revealed as deception after loans were fully processed. These comments from borrowers reveal their confusion and anger when such deceit was unmasked: "The interest rate never settled down. They told us it was fixed but it must have been variable. The interest rate changed daily depending upon the day that you made a payment." "Once I had the first loan, I would receive ads in the mail telling me I could get money for vacations or other things and that my loan wouldn't increase. But when you got the loan it was a different story." "The paper work came back, and I noticed that they had put up my home as collateral, and that was different from what they were supposed to. I think he was trying to slip a fast one past me."

After borrowers discovered these changes to their contracts and expressed dismay, lenders' employees often addressed this breach of the rules of engagement by creating after-the-fact rationales. These explanations suggested that such modifications are legitimate and/or in the best interest of consumers. Such an aggressive posture was applied regularly when borrowers showed concern about credit insurance: "I was told I had to have insurance in case something happened to me." "Insurance was added to my loan but I was not aware of it. When I called them later and asked about it, they told me it was necessary to bring your interest [rate] down." "The way they talked, I thought I had to have it. They said it was because of my [advanced] age."

Blaming the Victim

If these explanations failed to reassure consumers, or at least silence them, the aggression often was raised to the next level. At this point, borrowers were held responsible for their problems, as lenders' employees went on the offensive with the blaming the victim strategy. The purpose of this tactic was to shift accountability for troublesome issues from lenders to their customers. Consider the cases of two borrowers. The first changed his/her mind on Monday after signing a loan agreement on Saturday. The second questioned the size of a loan balance after making a significant number of payments: "When I figured it out a few days later, they told me the three days had passed and it was too late to back out." "The [loan] balance remained high no matter what we did. The manager blamed it on the lack of timely payments."

This strategy was most likely to be employed when consumers questioned their need for credit insurance or tried to exercise their rights within

their policies. Contemplate two sets of comments from different borrowers who tried unsuccessfully to cope with income losses that they believed were covered by their insurance policies: "My back got hurt and I wanted them to pay on my policy but I got rejected. They would have got to pay my bill for about three years. They asked me if I ever hurt my back before and I said no. I did have some muscle spasms before, but it wasn't the same thing. [The Lender] said it was a 'preexisting condition' even though it wasn't." "[When I was off work due to breast cancer] I tried to collect on the insurance. They told me I had to be off so many days before the insurance kicked in. I said that was not what they told me when they sold me the policy. I was back at work before I could collect anything. I called them up and said, 'What kind of insurance did you sell me?' They said that I should have called them earlier than I did."

Continuous Assault

The highest level of aggression was reserved for consumers who failed to make prompt payments and quickly resolve the situation to the satisfaction of lenders. Under these circumstances, borrowers experienced a continuous assault by employees that had few boundaries in time, place, or demeanor. The experiences of the following three consumers reveal the lack of respect for their privacy rights by lenders' agents: "They would call two or three times a day—once in the morning, in the middle of the day, and at about 9PM. They told us that they would call every single day until a payment was made." "If you were late with a payment, they would call you at home and call you at work. I would tell her that I didn't want to discuss this at work, but she said it would only take a few minutes. Then she would say that my payment was due on a certain day and I was in violation of my contract. I would tell her that I would make a payment by Friday, but she was very pushy about getting the payment that day." "[When I was late on a payment] they would call me at work and demand this, that, and the other. I struggled to make those payments. They would call me at work and call me at home. They even came by my house twice."

Along with this bombardment of calls and visits, consumers also experienced abusive language by and threats from lenders' personnel. Borrowers regularly were told that they would lose their homes or other precious possessions or that their credit records would be damaged. This nonstop contact and disparaging language led consumers to endure a great degree of stress: "We suffered from total harassment and abusive conversations. They used the most abusive language from any creditor

I have ever heard. I hung up the phone several times in tears. They were so threatening. I was trying to explain things but they kept harassing us anyway.” “They called and they threatened me and they threatened my wife ... They said they [were going to] charge me interest on the whole amount until it got paid. They called so much they made my wife cry every day. One time she was having company at home and she said she would call them back, but they insisted she talk to them right then. I got so tired of it I told them I was going to file bankruptcy, and they said I would still owe them the money and they would ruin my credit.”

Even borrowers who relented and made some form of payment that met their needs as well as those of lenders experienced problems. For example, the following consumer sent a postdated check as restitution but the lender cashed it prior to the agreed-upon date: “They told us that if we sent them a payment by check they wouldn’t cash it until my husband got his check. They put it in the same day and we started bouncing checks right and left. You would hear one thing and they would give you another.” The following borrower increased his loan principal to make up for delinquent payments, only to suffer renewed harassment from the lender’s employees: “We explained our circumstances and tried to work things out. They told us we could skip a payment and add it to the end of our loan. We agreed and even signed the paper, but they told us a payment was due anyway. They said they had no such agreement or that it didn’t go through. It was like they were trying to make us foreclose.”

While most consumers attributed this onslaught to malicious intent on the part of lenders, others suggested that it was the result of poor coordination and communication within the firms. The first two sets of comments suggest the former perspective, while the second two sets indicate the latter explanation: “[Doing business with the lender] is like robbery without a pistol or robbery with an ink pen ... They are a typical, what do you call it, predatory lender.” “[When I think of the lender] I think of swindle. They put up a good front. Very accommodating until you get underneath. They prey on senior citizens and people who live in the Black community. They try to steal you blind.” “Sometimes we would make a [debit] payment over the phone and they would screw it up and call us the next day for payment. Also, one person would call you at night and you would tell them that you would make a payment next Friday, and someone else would call you the next day and ask the same question.” “Well, they said they hadn’t received the April payment when we paid it and had a photocopy [of the cashed check] from the bank. We would tell one person, [and] then another would call harassing us ... I told my husband that there wasn’t much communication among their employees.”

DISCUSSION AND CONCLUSIONS

Research Summary

Public policy and consumer scholars have called for more research into why seemingly irrational choices and subpar decisions often are made by subpopulations seeking certain financial services (see Apgar and Herbert 2006). To address this issue, our project examined predatory lending practices from the consumers' perspective, with the intention of providing their voices to the debates. The resulting thematic structure reveals practices by predatory lenders designed to provide vulnerable classes of consumers with easy access to financial resources. In exchange for this opportunity, borrowers were expected to ask few questions about their loan packages, expand their borrowing without a complete understanding of their agreements, and continue making increasingly larger monthly payments. Failure to meet these obligations caused the lenders' demeanor to change from responsive and helpful to negligent and aggressive. This metamorphous led to an assault on borrowers that involved modifying contracts without their knowledge, blaming them for discrepancies between understood and actual terms, and harassing and verbally abusing them when they failed to meet imposed liabilities.

Our results provide individual-level data that highlight the consumer experiences identified previously at an aggregate level (Avery, Canner, and Cook 2005; Calem, Gillen, and Wachter 2004). Further, they inform ongoing efforts into the survival strategies of impoverished consumers (Hill 2002b, Hill, Ramp, and Silver 1998). Finally, several of our findings generated from thematic analysis resonate with federal and state allegations of misconduct by predatory subprime lenders using illicit marketing tactics:

- *Victimized consumers with few other options*—Data reveal that consumers believed they had few legitimate opportunities for borrowing outside of subprime lenders and that they perceived lenders as taking advantage of this situation (the friendly veneer).
- *Induced consumers to assume additional debt*—The thematic structure shows that lenders enticed and cajoled borrowers into continuously increasing their debt loads, often reaching levels that were beyond their ability to repay (rules of engagement).
- *Hide essential information from consumers*—Loan agreements between lenders and their consumers purposefully lacked full disclosure as employees rushed borrowers through the lending process, especially the loan closing, and failed to solicit or respond to clarifying questions (friendly veneer and rules of engagement).

- *Used unfair and aggressive collecting practices*—Consumers experienced an assault on their privacy at home and at work and were subjected to abusive and threatening language by lenders' agents when they failed to meet the terms of these poorly understood and escalating loan arrangements (an aggressive response).

Consumer Protection Implications

Results of this study bolster the argument that legislation is needed to protect consumers from lending abuses. Several states that include New York, California, Illinois, and Connecticut have all passed predatory lending laws in response to illicit marketing tactics (Elliehausen and Staten 2004). These regulations typically classify such loans as "high cost" and impose strict limits on what can be included in the loan packages. For instance, North Carolina's legislation prohibits specific add-ons, such as balloon payments at the end of loan terms, escalating interest rates as a consequence of default, and financing of fees or charges if borrowers refinance their loans with the same lenders (Harvey and Nigro 2004). At the federal level, two bills (H.R. 1182 and H.R. 1295) were introduced that would limit points and fees, loan flipping, and prepayment penalties and require educational counseling prior to obtaining high-cost loans (U.S. Congress 2005a; 2005b).

However, because of the prevalence of such mistreatment, legislators have introduced new disclosure requirements that better highlight the terms and conditions of subprime loans. Critics of improved information dissemination argue that they may lead to a "blame the victim" mentality, absolving public and private entities from liability for lending abuses (Gross 2005). This debate provides naturalistic opportunities for scholars and regulators to test summary disclosure mechanisms to ascertain whether their features match the capabilities of vulnerable consumers. Interviews with persons exposed to revised lending procedures and sales tactics using these disclosures provide a ready comparison group to the respondents in the present study. Further research might examine the impact of compensation packages of loan officers and mortgage brokers (based substantially on commissions tied to premium rates, fees, and the inclusion of credit insurance) on the delivery of these new sources of information.

Nevertheless, our findings indicate that the efficacy of any legislative remedy requires additional support. One possible aid that has aroused much interest is improved financial literacy for at-risk consumers. There are several examples of this approach currently in practice within the private sector. Household International and Wells Fargo have initiated credit

education programs and developed information booklets for consumers that provide overviews of their loan products. The American Banking Association also has renewed efforts with local institutions to take a leading role educating the general public about managing their personal finances, emphasizing younger consumers as well as persons who lack basic numeracy (Simmons 2006). Additionally, the Financial Literacy and Education Commission (2006), which is a consortium of federal agencies established by the 2003 Fair Credit and Accurate Transactions Act, has developed an information clearinghouse (<http://www.mymoney.gov>) to provide consumers with educational materials and links to various organizations.

Long-run solutions to these abuses may require more private–public partnerships that seek change to the marketing tactics of a number of inter-related financial institutions. From payday lending to income tax loans and from rent-to-own to pawnshops, those consumers whose lives are characterized by restricted resources may be forced to make purchase decisions that require suboptimal financing. As noted at the opening of this article, Karpatkin recommended that changes be made across this entire industry. However, curbing these vendors only solves one part of the problem. The need for fiscal services among vulnerable members of our society will remain, requiring that ethical lenders step forward and provide credit opportunities where they do not currently exist. Any other solution leaves the door open for the return of unethical practices since unfulfilled important and legitimate needs will always seek some form of satisfaction.

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